

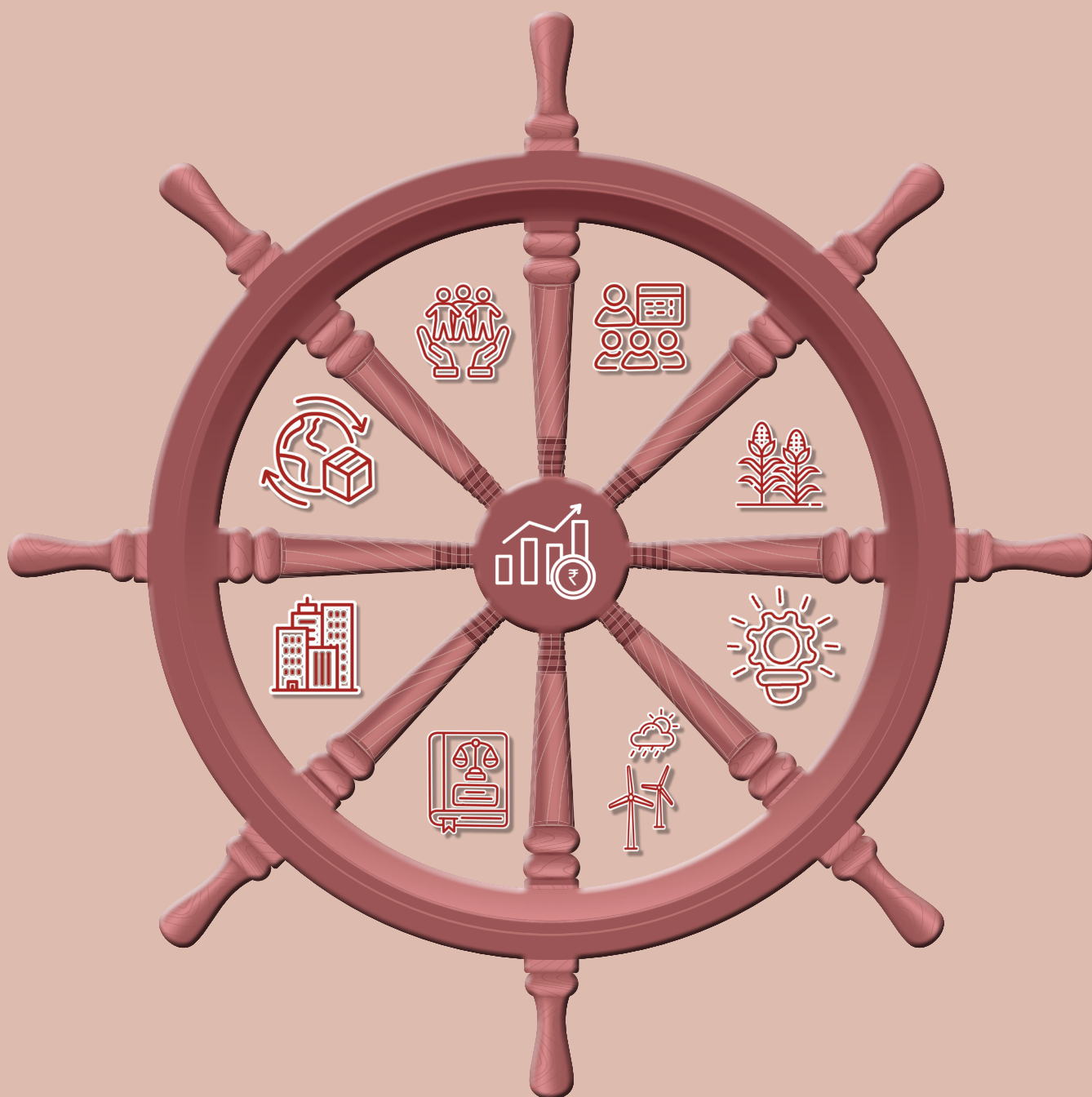
ECONOMIC SURVEY

2024-25

HIGHLIGHTS



सत्यमेव जयते
Government of India

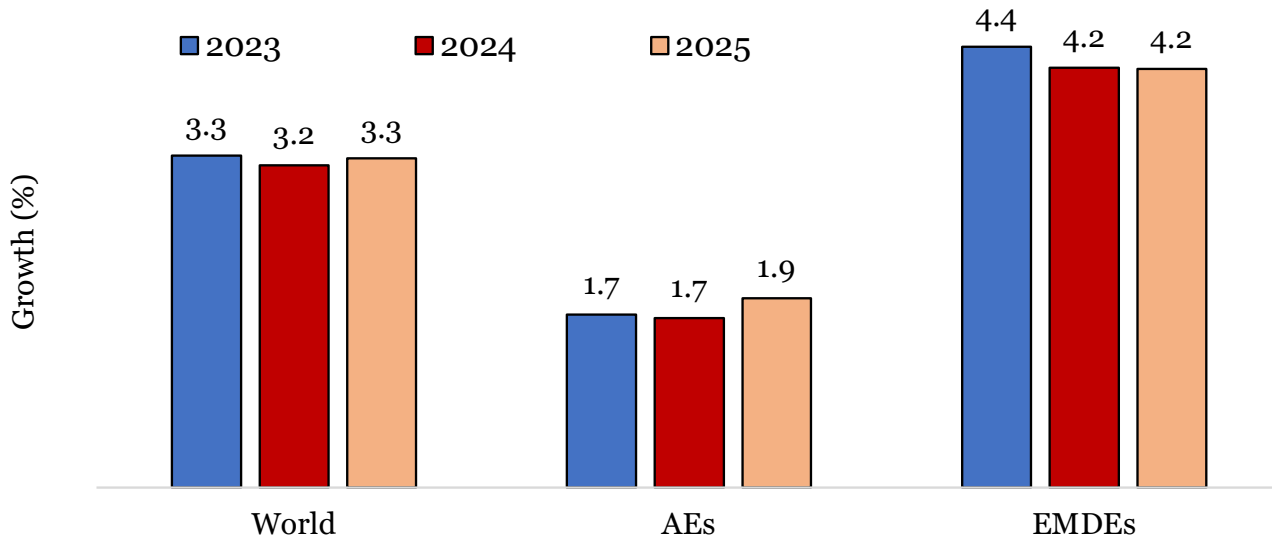


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State of the Economy: Getting back into the fast lane

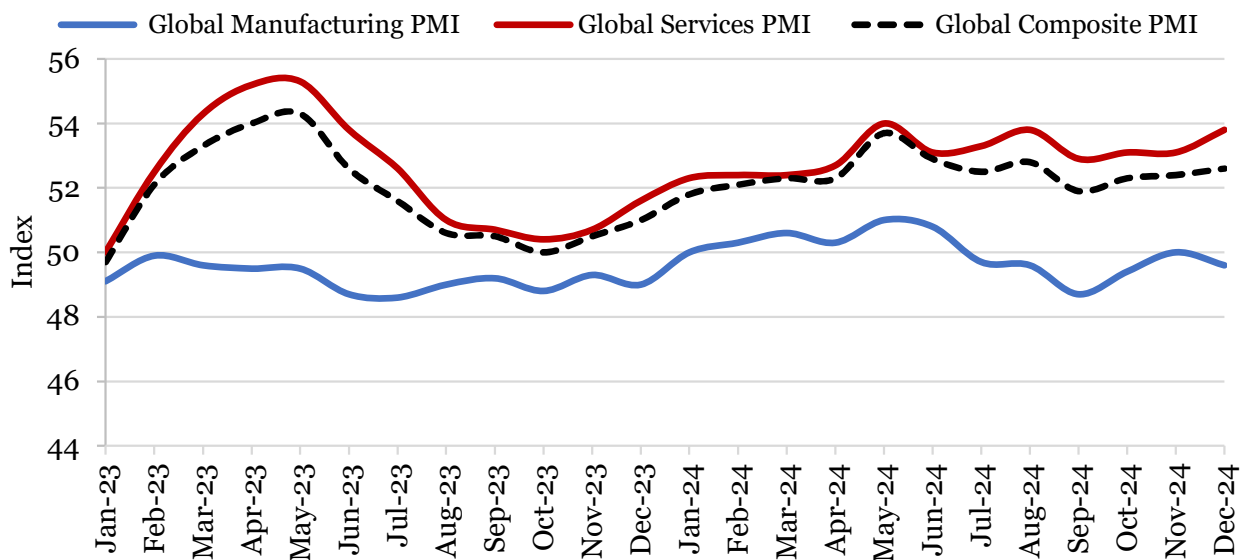
Steady growth outlook across country groups



Source: IMF's World Economic Outlook

Note: AEs- Advanced Economies, EMDEs- Emerging market and developing economies.

Global manufacturing and services PMI trends*



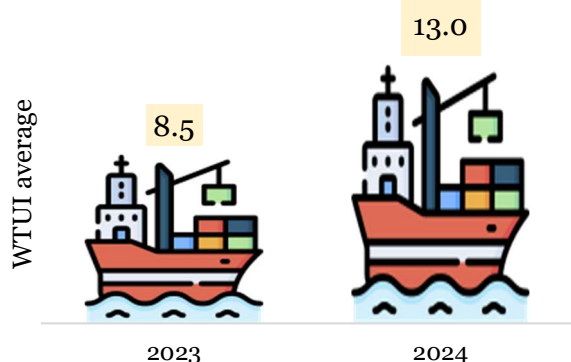
Source: Bloomberg

Note: PMI: Purchasing Managers Index.

*The index varies between 0 and 100, with a reading above 50 indicating an overall increase compared to the previous month and below 50, an overall decrease.

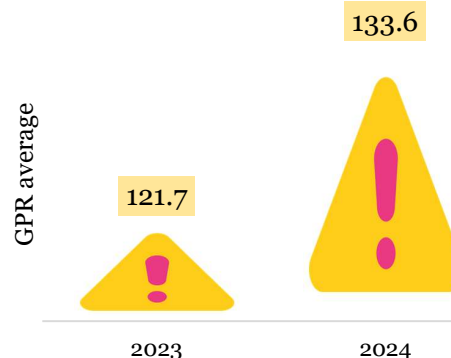
Elevated global uncertainties

Higher World Trade Uncertainty index (WTUI) in 2024



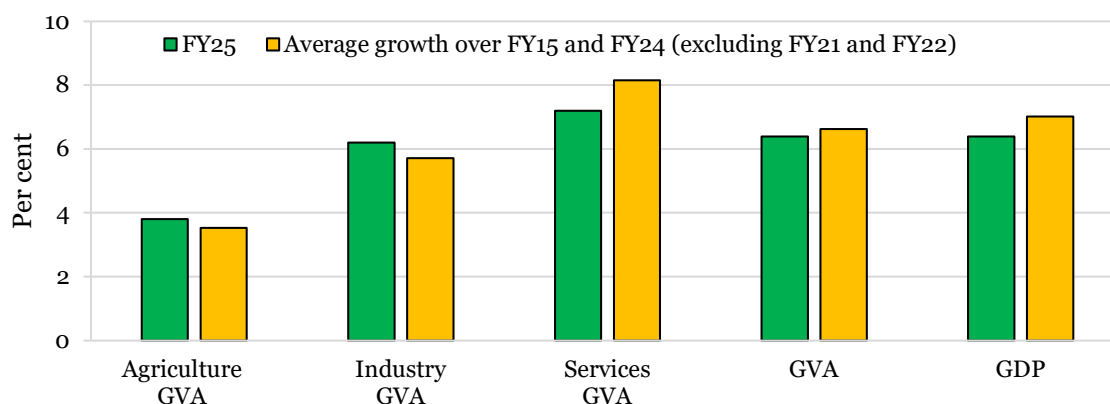
Source: Economic Policy Uncertainty <https://www.policyuncertainty.com/gpr.html>

Higher Geopolitical risk index (GPR) in 2024



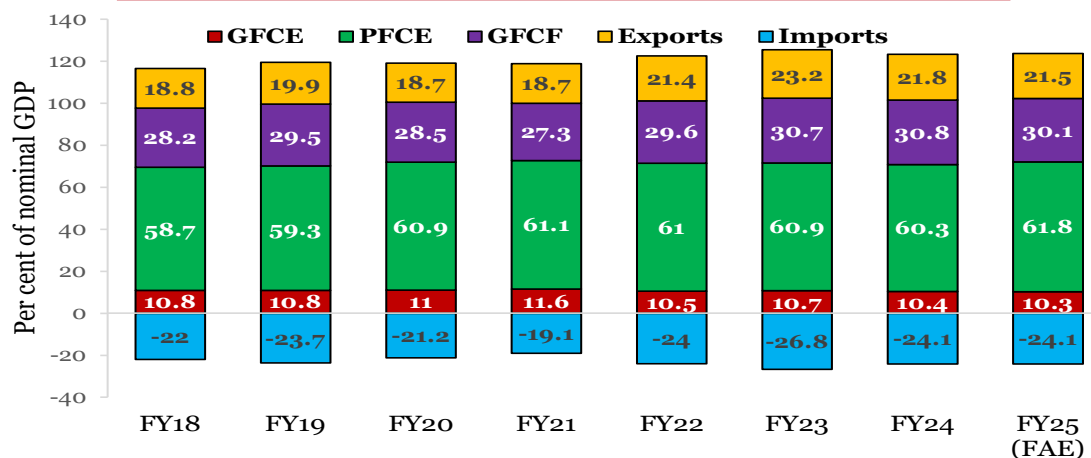
Source: Economic Policy Uncertainty <https://worlduncertaintyindex.com/data/>

India's growth remains close to the decadal average despite global uncertainties



Source: MoSPI, Note: GVA: Gross value added: GDP: Gross domestic product

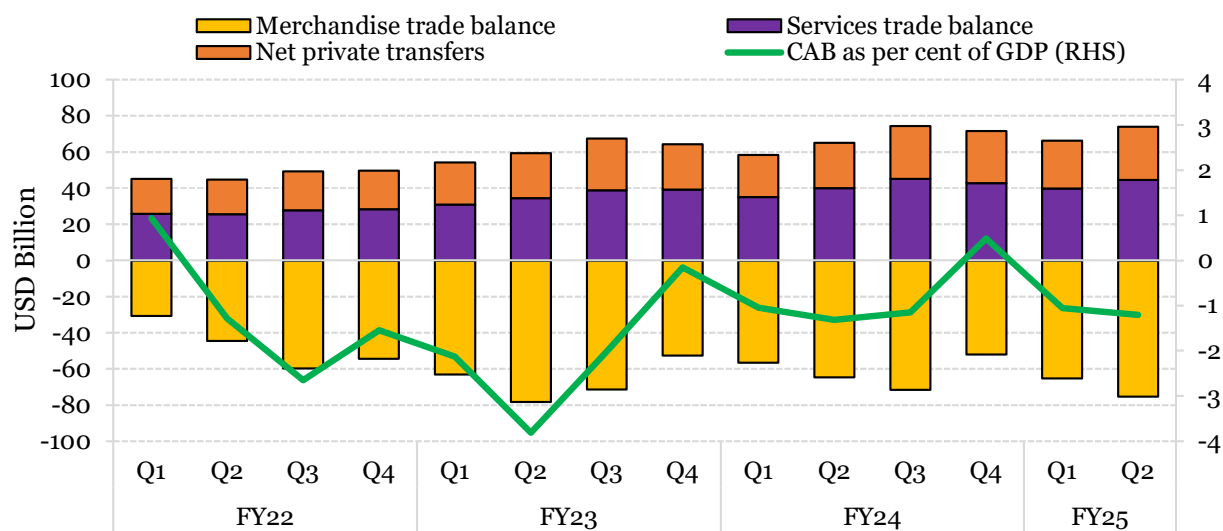
Steady shares of investment and consumption in GDP



Source: MoSPI

Note: PFCE – Private Final Consumption Expenditure, GFCE- Government Final Consumption Expenditure, GFCF- Gross Fixed Capital Formation

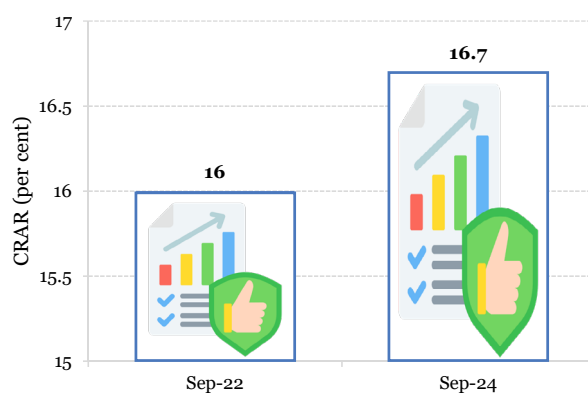
Strong external sector



Source: Source: RBI Handbook of Statistics on the Indian Economy

Note: CAB – Current Account Balance

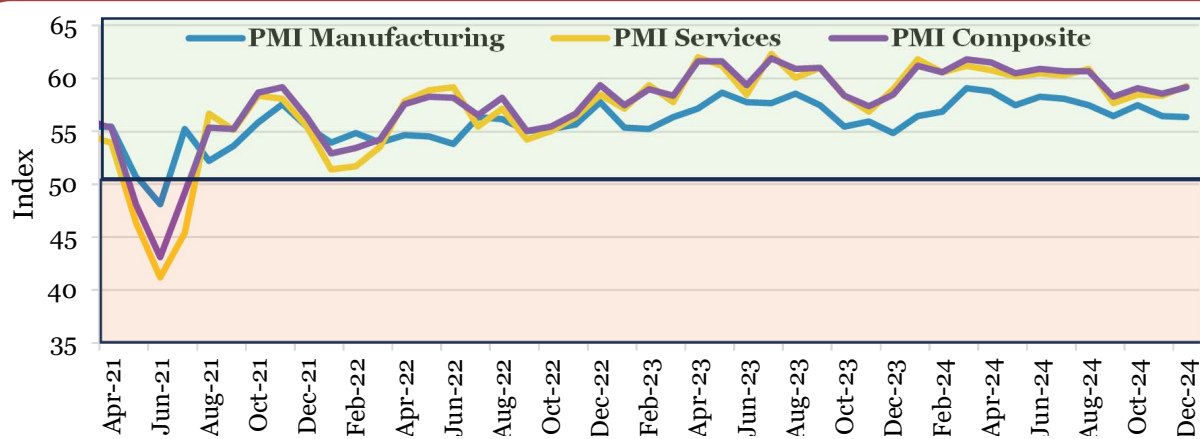
Stable banking system indicators



Source: Various editions of RBI Financial Stability Report

Note: CRAR: Capital to risk-weighted assets ratio.

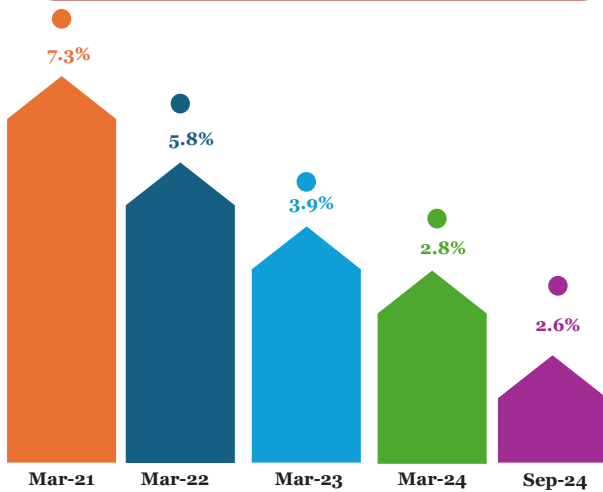
Steadily expanding economic activity



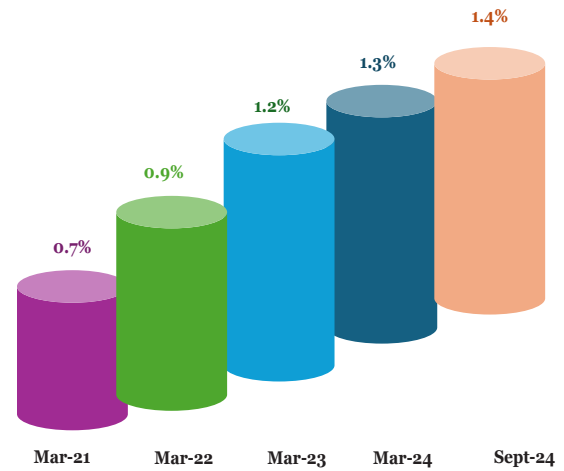
Monetary and Financial Sector Developments: The cart and the horse

Improvement in asset quality of banks

Gross Non-Performing Assets ratio (% of gross advances) of SCBs on a declining trajectory

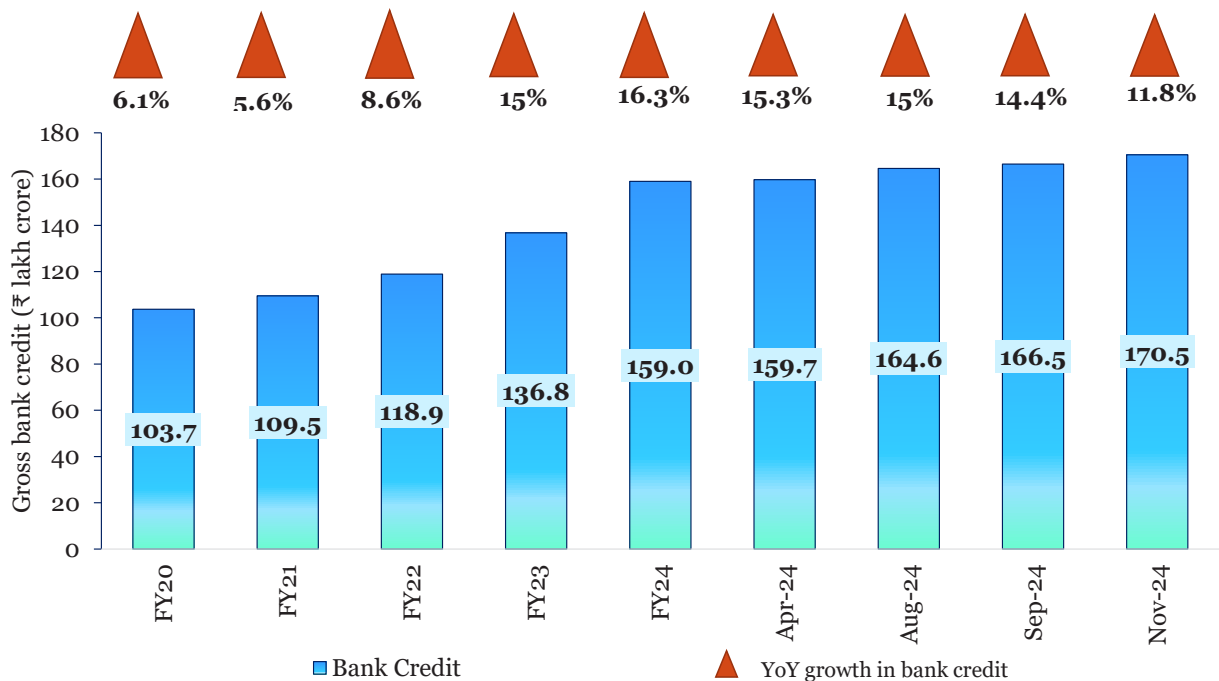


Improvement in the profitability of SCBs reflected in rising Return on Assets (RoA)



Source: RBI Financial Stability Report, various issues

Bank credit steady



Developments in capital markets



₹11.1 lakh crore mobilised from primary markets during Apr-Dec 2024, 5% more than the amount mobilised in FY24

No. of demat accounts rose by 33% to 18.5 crore at the end of December 2024 on a YoY basis



No. of IPOs increased to 259 in Apr-Dec 2024 from 196 in Apr-Dec 2023 (up 32.1% YoY) with funds raised tripling to ₹1,53,987 crore from ₹53,023 crore in the same period

Performance of Capital markets

No. of unique mutual fund investors doubled from 2.9 crore in FY21 to 5.6 crore as of December 2024



India's market capitalisation to GDP ratio stood at 136% at the end of December 2024, far higher than other EMEs

Monthly average gross SIP flows more than doubled in the last three years from ₹0.10 lakh crore in FY22 to ₹0.23 lakh crore as of Dec 24



Source: SEBI

Rural Financial Institutions have played a significant role in advancing financial inclusion



Government's strong emphasis on Financial Inclusion

Improvement in RBI's Financial Inclusion Index from 53.9 in March 2021 to 64.2 by March 2024

Performance of Regional Rural Banks



22,069 branches in 700 districts

- 26 States & 3UTs
- 14% share in all branches (all banks)
- 30% share in rural branches (all banks)
- 92% branches in rural/semi-urban areas



₹6.6 lakh crore deposits

- 31.3 crore deposit accounts
- 3.2% share in deposit amount (all banks)
- 13.7% share in deposit accounts (all banks)

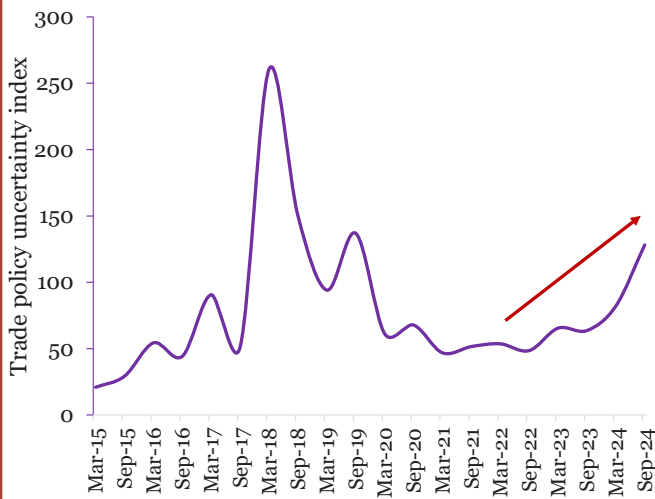


₹4.7 lakh crore advances

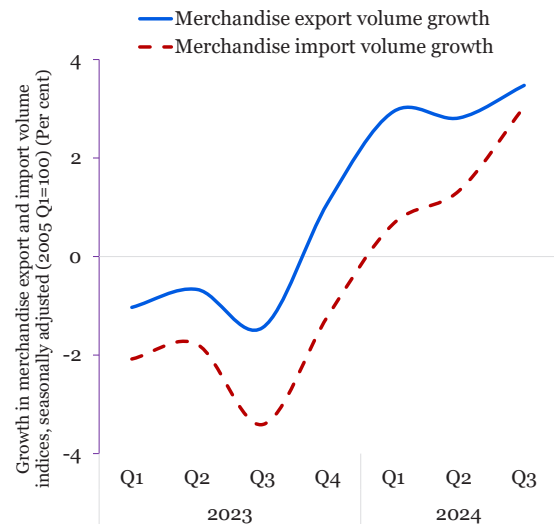
- 3 crore loan accounts
- 2.9% share in advances (all banks)
- 8% share in loan accounts (all banks)

Global trade dynamics

Rise in global trade uncertainty

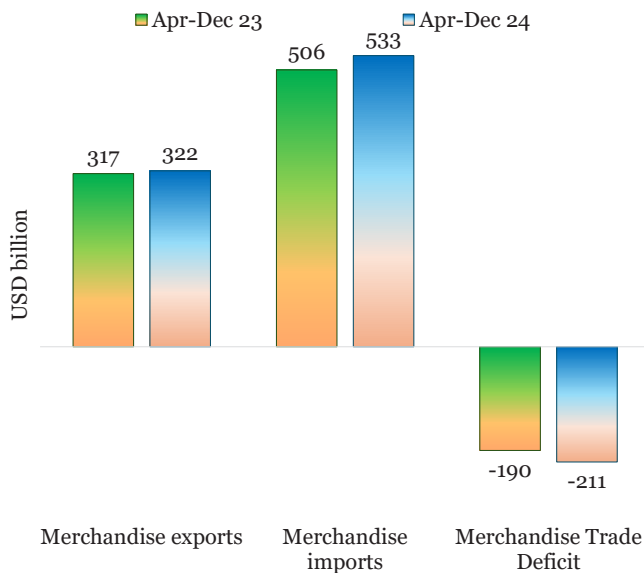


Rebound in global trade in 2024

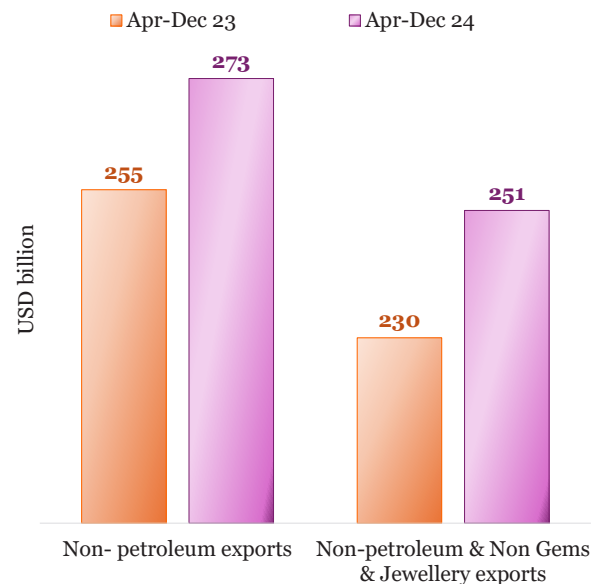


India's trade performance in the first eight months of FY25

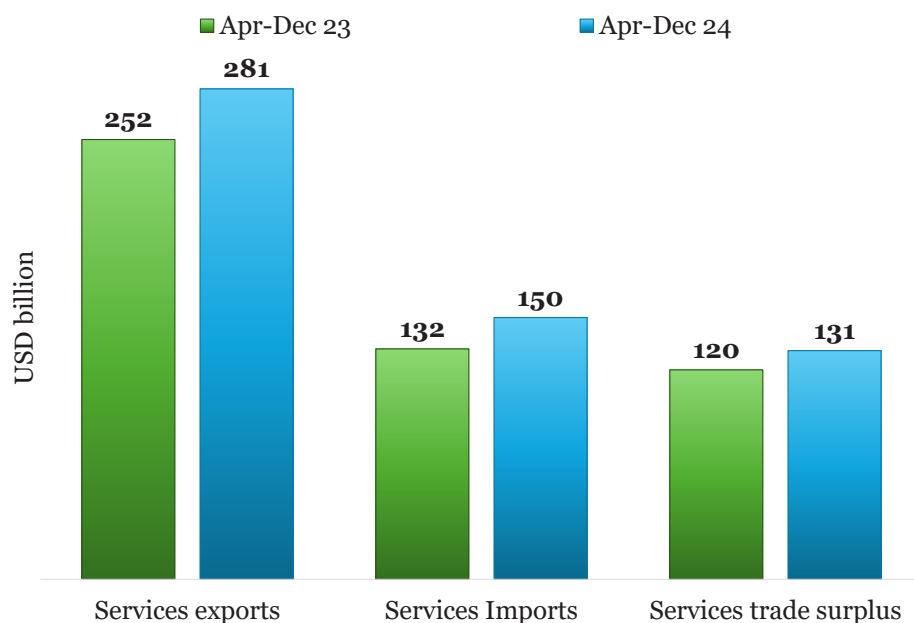
Merchandise trade deficit widened in the first nine months of FY25



Non-petroleum and Non-petroleum & Non-Gems and Jewellery exports performed well in the first nine months of FY25



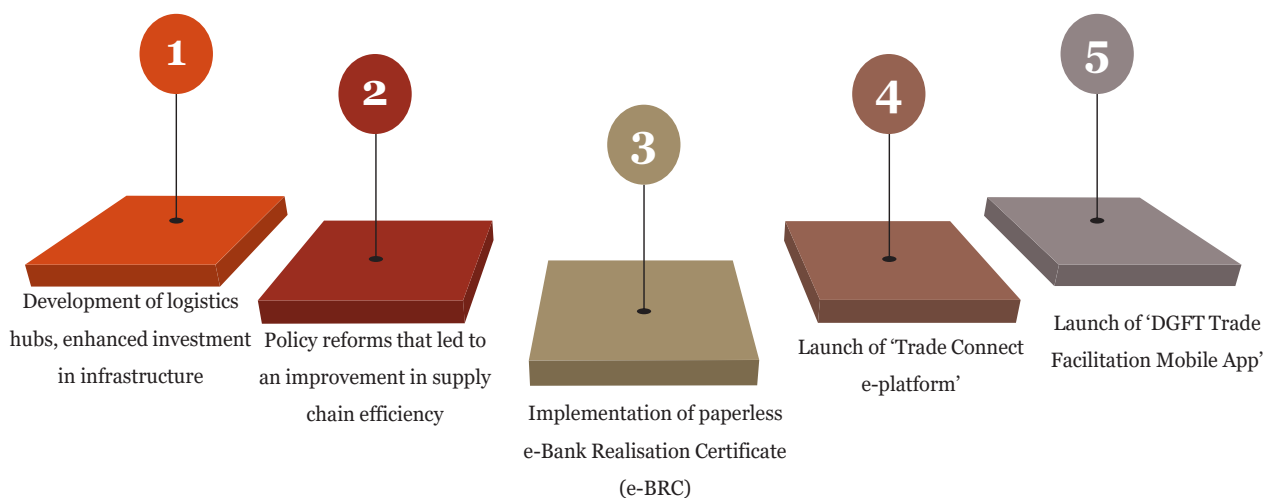
Services trade surplus in the first nine months of FY25



Source: DGCIS, M/o Commerce and Industry

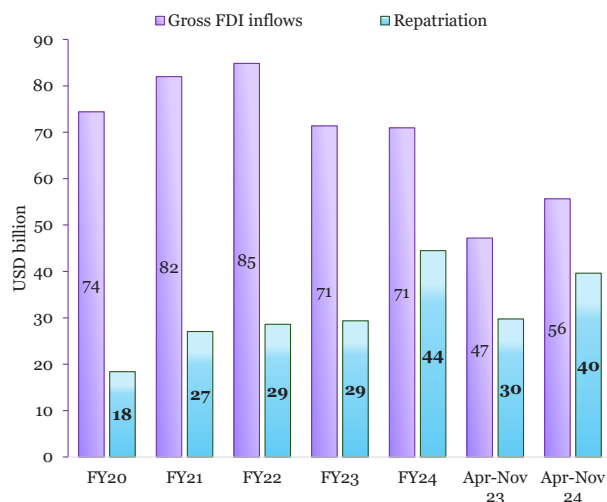
- ♦ Moderate growth in merchandise exports during April-December 2024, primarily due to a decline in the value of petroleum exports, driven by a fall in international oil prices
- ♦ Surge in merchandise imports reflecting a rebound in domestic consumption despite the inflationary impact

Ease of Doing Business initiatives for exporters

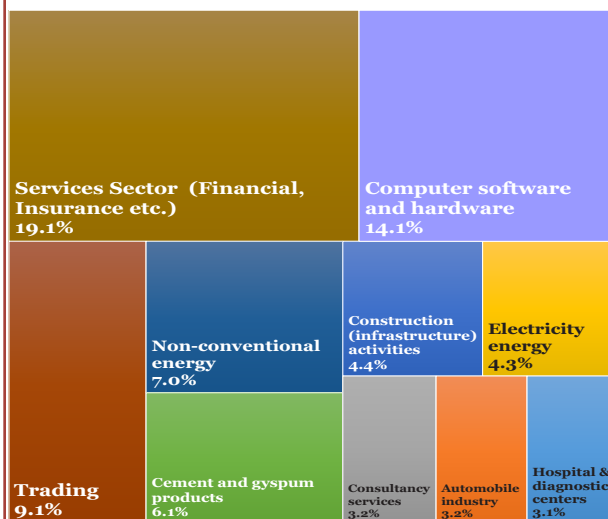


India continues to attract substantial foreign investments

Rise in Gross FDI inflows; Repatriation a sign of profitable exits

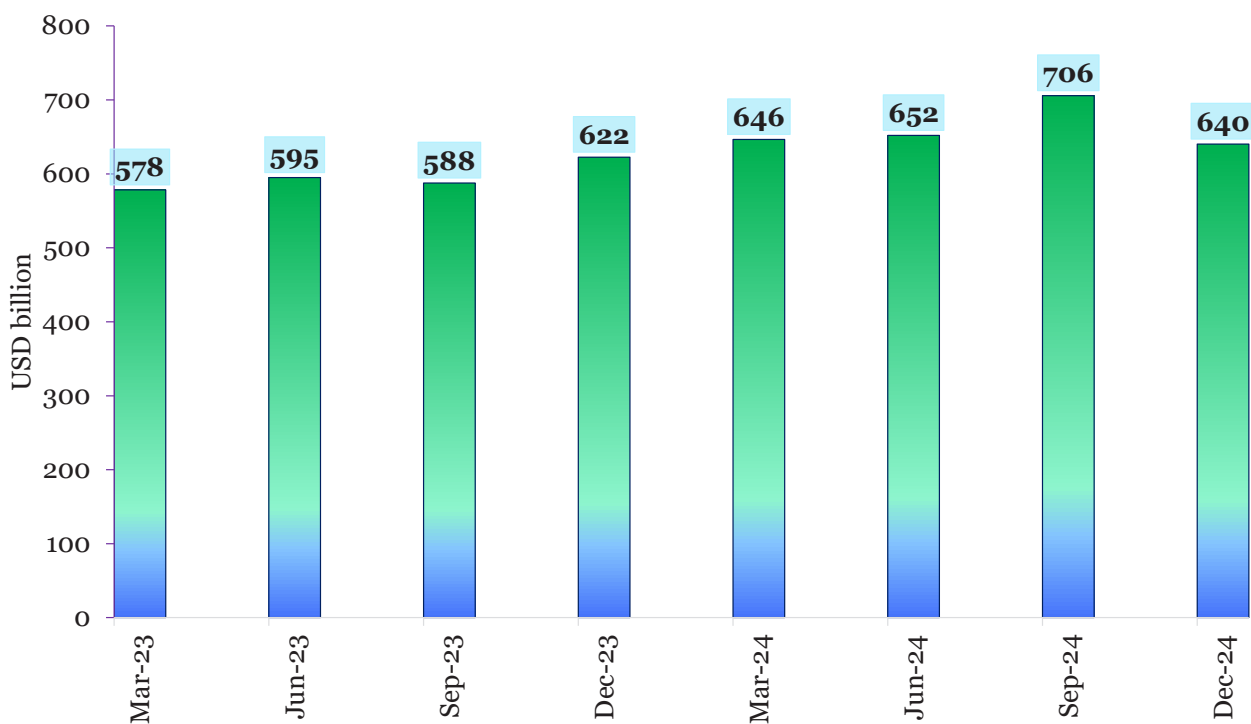


Services sector leads FDI inflows with 19.1% share in H1 FY25, followed by technology, trading and non-conventional energy



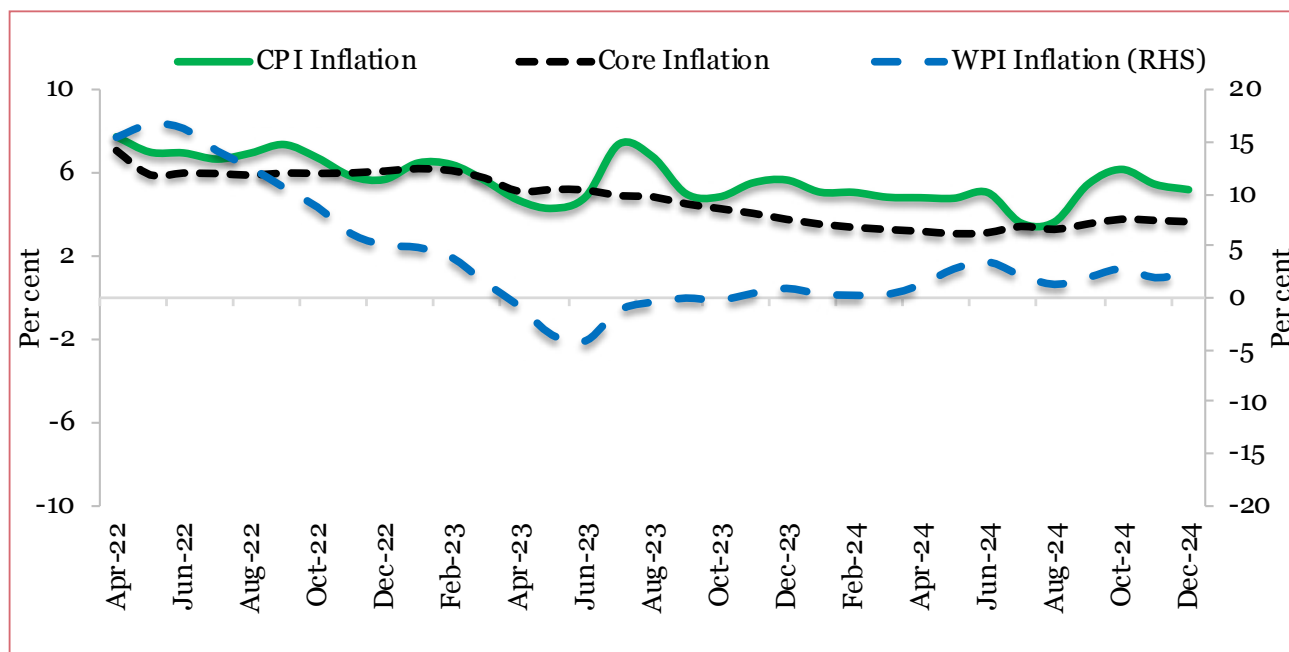
Strengthening Forex Reserves

Forex reserves were at a high of USD 706 billion in September 2024; and stood at USD 640.3 billion by 27 December, 2024, covering 89.9% of external debt



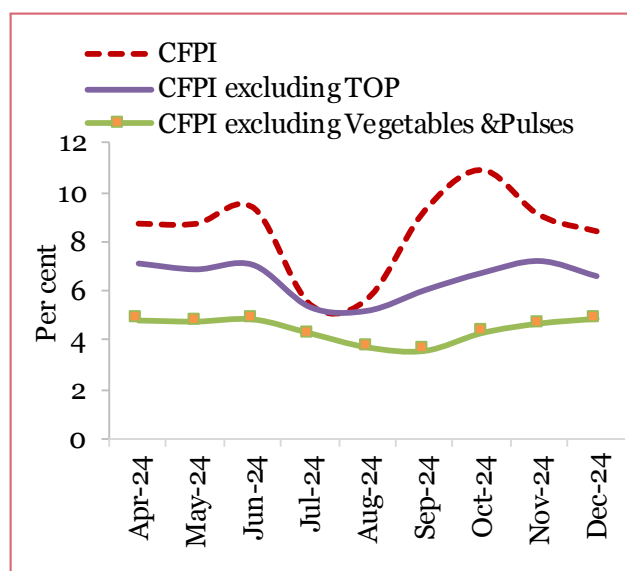
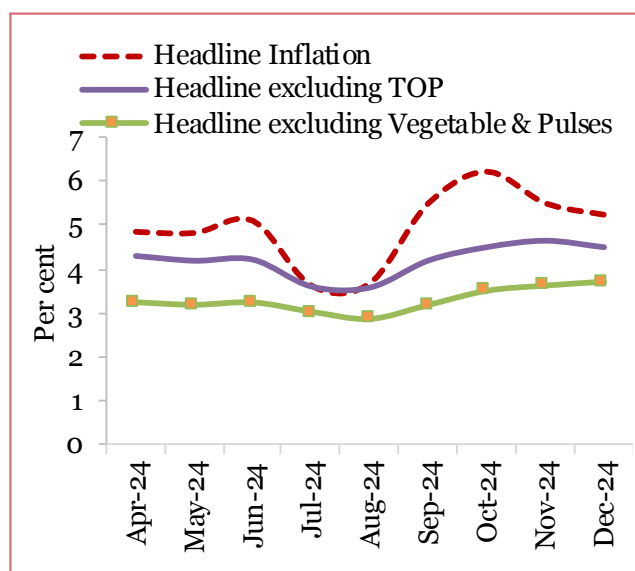
Prices and Inflation: Understanding the Dynamics

Softening core inflation cools headline inflation



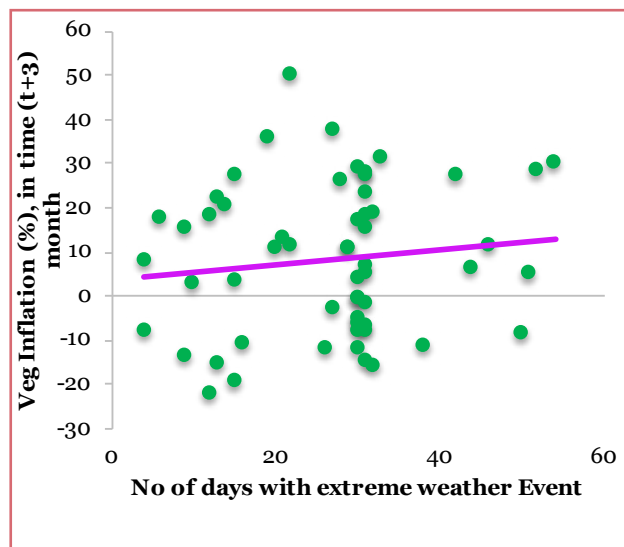
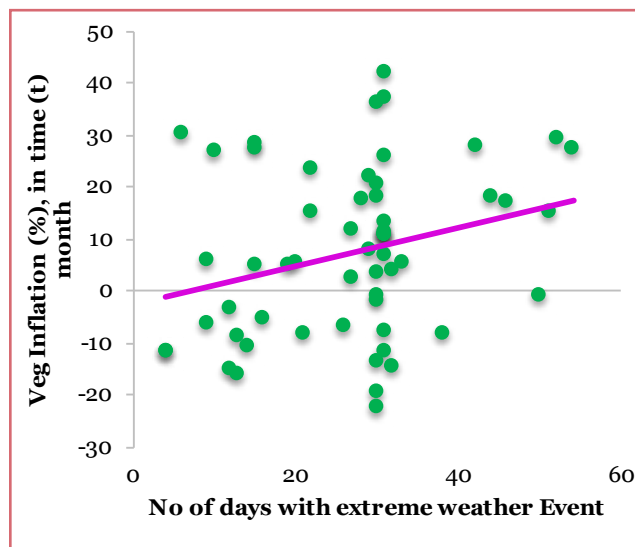
Source: Consumer Price Indices released by CSO, MoSPI

Headline and food inflation driven by few food items



Source: Consumer Price Indices released by CSO, MoSPI

Impact of extreme weather events on vegetable inflation: evident up to three months (April 2020-Dec 2024)



Source: Ministry of Earth Sciences and Consumer Price Indices released by CSO, MoSPI

Administrative measures to control food inflation

CEREALS

- ❖ Stock Limits on Wheat
- ❖ Open Market Sale Scheme: Wheat and Rice
- ❖ Sale Under Bharat Brand: Wheat Flour and Rice

PULSES

- ❖ Sale Under Bharat Brand: Chana, Moong and Masur Dal
- ❖ Duty-Free Import: Desi Chana, Tur, Urad, Masur and Yellow Peas
- ❖ Imposition of Stock Limits: Tur and Desi Chana

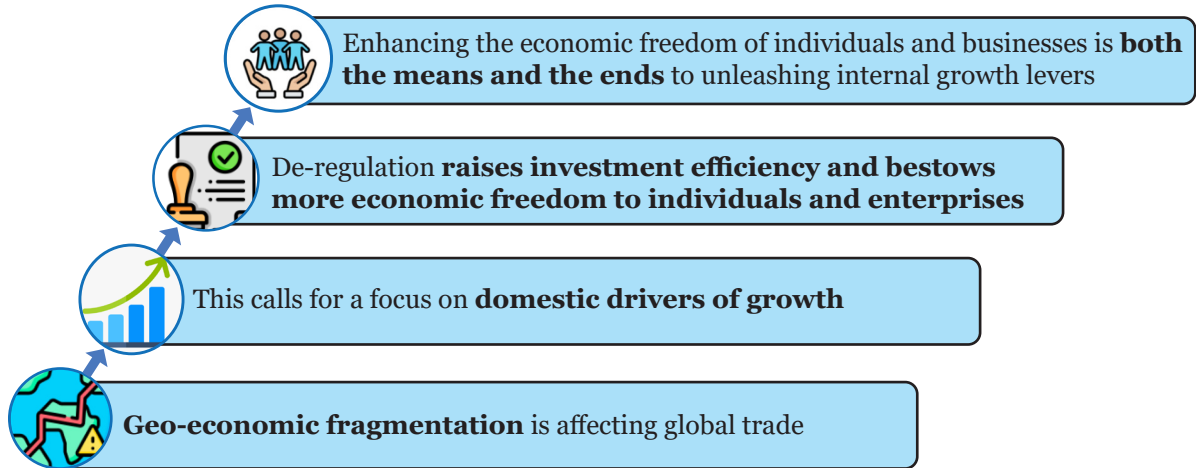
VEGETABLES

- ❖ Subsidised Sale of Onion and Tomato
- ❖ Buffer Stock of Onion

Source: Various PIB releases

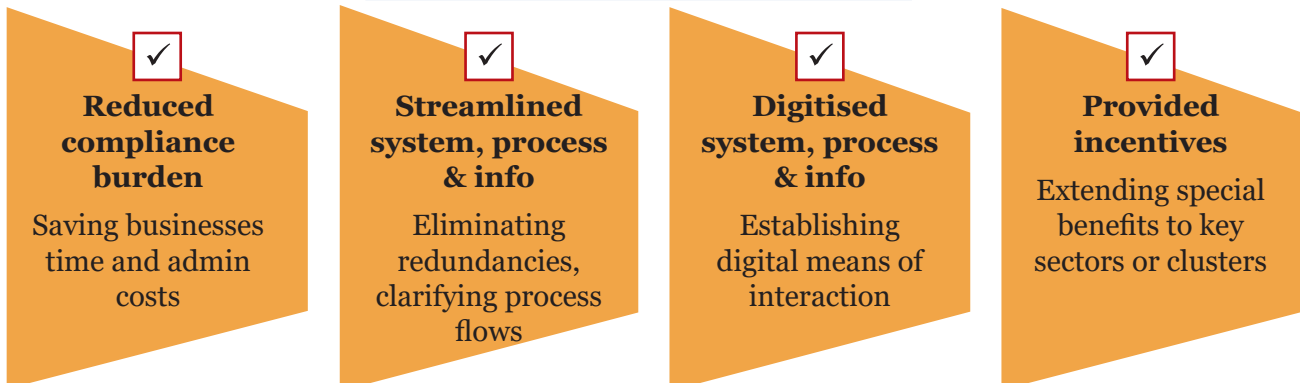
Medium Term Outlook: Deregulation drives growth

Unleashing the domestic drivers of growth and the economic freedom of individuals and businesses

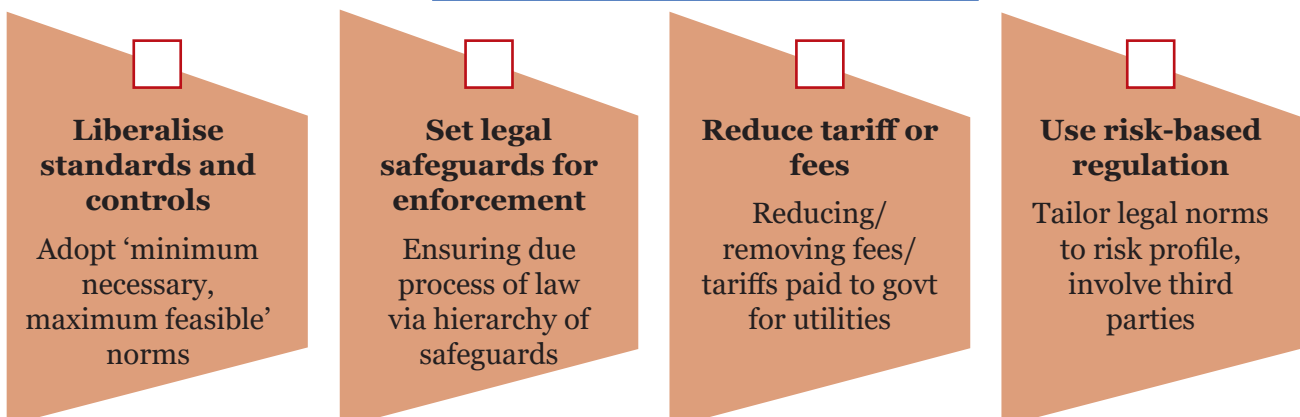


EoDB 2.0 - Undertaking systematic deregulation

Pursued in phase 1



To be pursued in phase 2

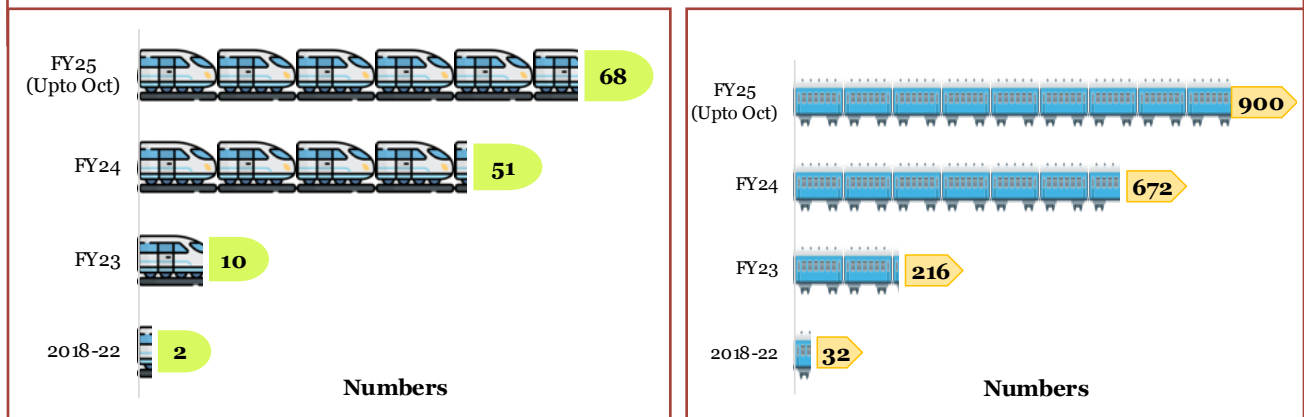


Investment and Infrastructure: Keeping it going

Progress in physical connectivity

Railways

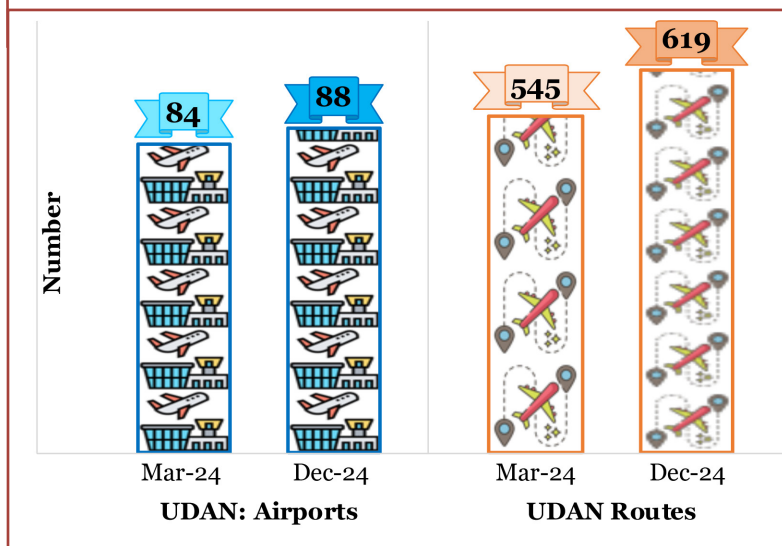
Cumulative no. of Vande Bharat trains and production of coaches



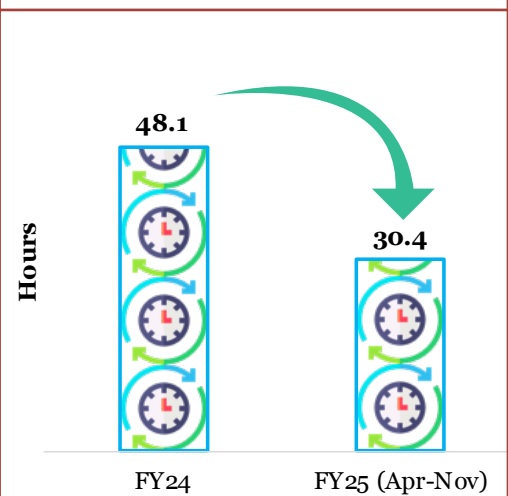
Source: Ministry of Railways

Civil aviation and ports and shipping

Operationalised airport and routes under RCS



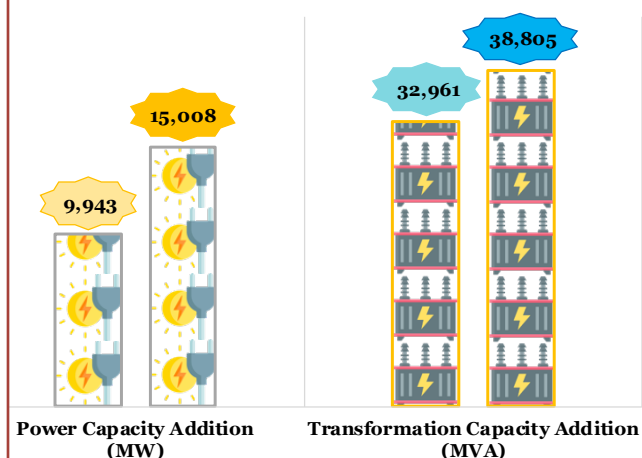
Reduction in average container turnaround time in major ports



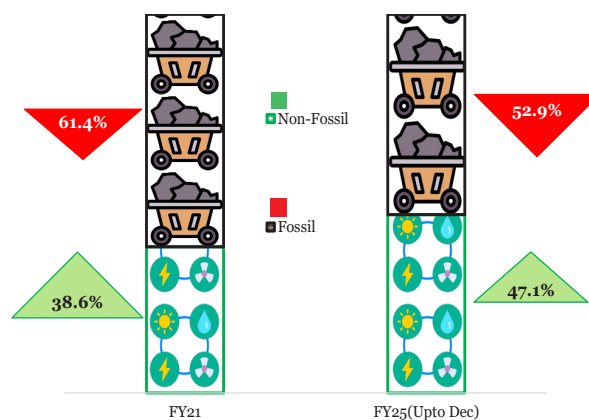
Source: Airport Authority of India Airport and JV/PPP airports, Ministry of Ports, Shipping and Waterways

Power sector

Capacity addition in the power sector



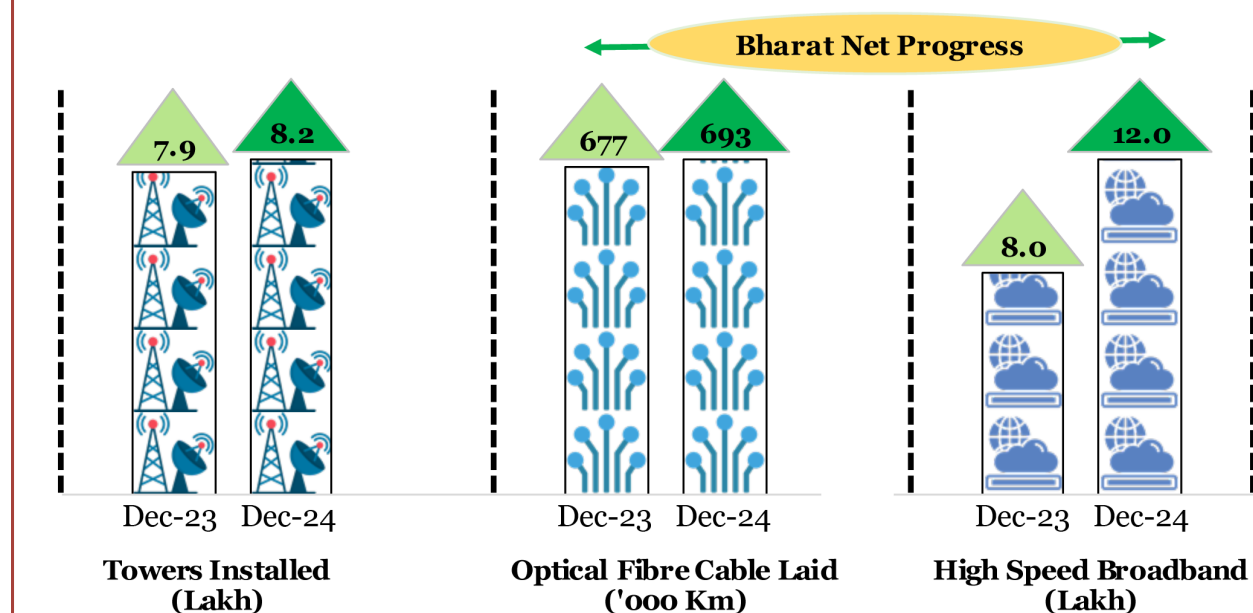
Growing reliance on renewables



Source: Executive Summary Report, Central Electricity Authority

Digital connectivity

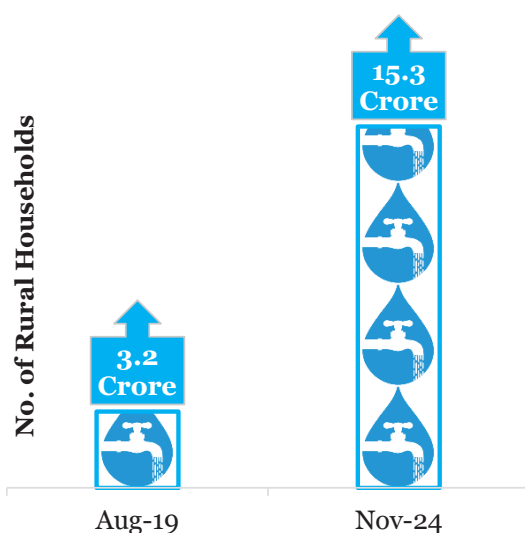
Progress in telecommunication infrastructure



Source: Digital Bharat Nidhi Dashboard, D/o Telecommunications, Ministry of Communications

Rural infrastructure

Progress under Jal Jeevan Mission: Access to safe piped drinking water



States achieving full coverage under JJM:

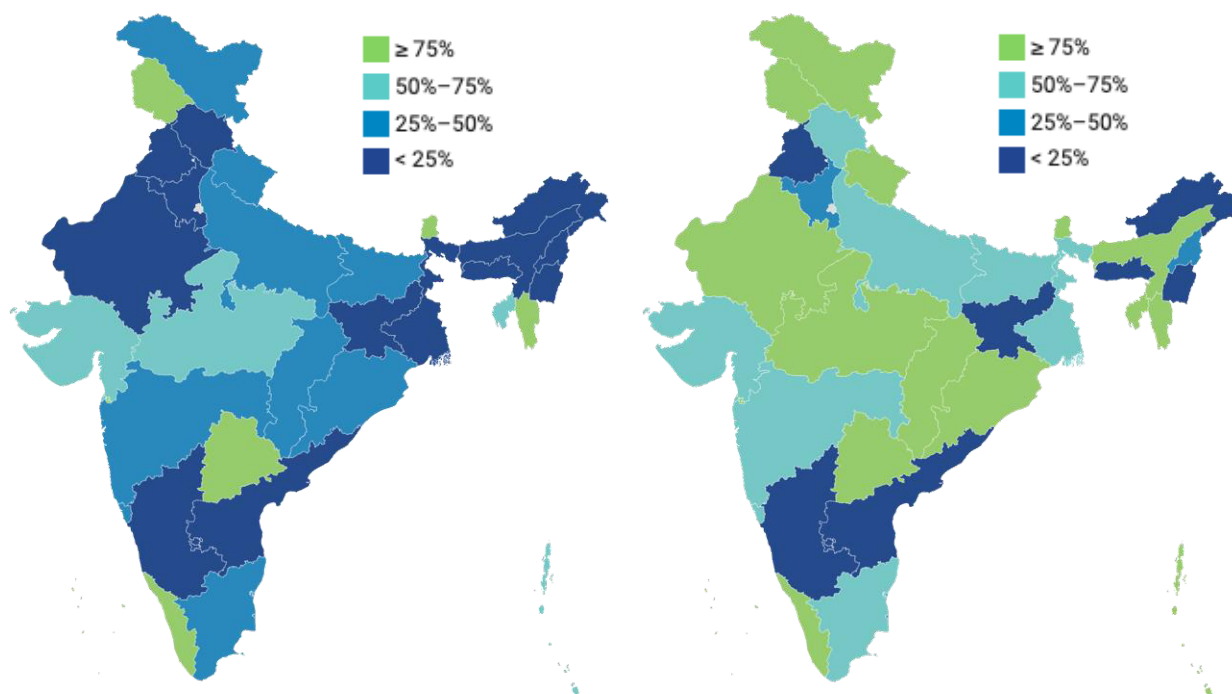
1. Arunachal Pradesh
2. Goa
3. Haryana
4. Himachal Pradesh
5. Gujarat
6. Punjab
7. Telangana
8. Mizoram

Source: Ministry of Jal Shakti

Increasing number of villages achieving ODF plus status

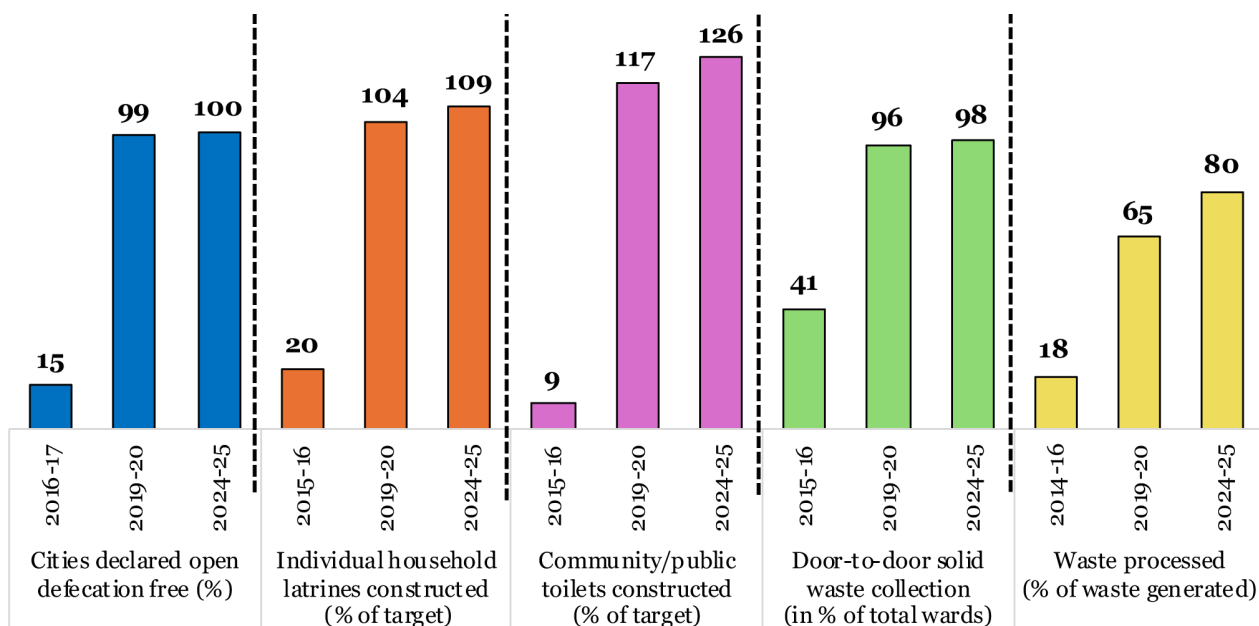
As of 31 March 2024

As of 22 November 2024



Urban infrastructure

Progress* under Swachh Bharat Mission-Urban



Source: M/o H&UA

* Note: As on 31st December 2024

Progress under various initiatives



Pradhan Mantri Awas Yojana – Urban: 1.18 crore houses have been sanctioned as of 25 Nov 2024



Urban transport: Metro rail systems: 1010 kilometres currently operational in 23 cities and an additional 980 kilometres underway



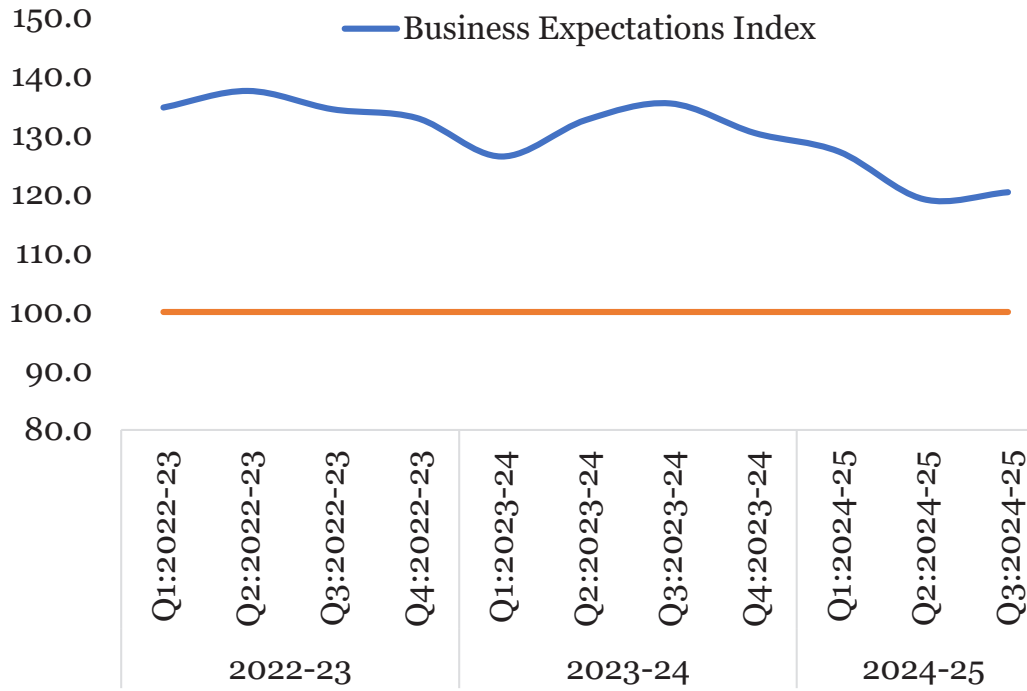
Atal Mission for Rejuvenation and Urban Transformation: tap water coverage increased to 70%, and sewerage coverage risen to 62%



Smart Cities Mission: 93% projects completed as of 13 Jan 2025

Industry: All about business reforms

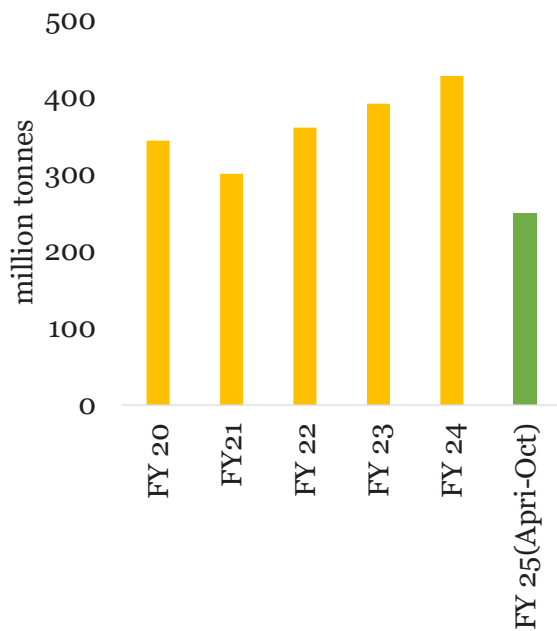
Optimism in the economy



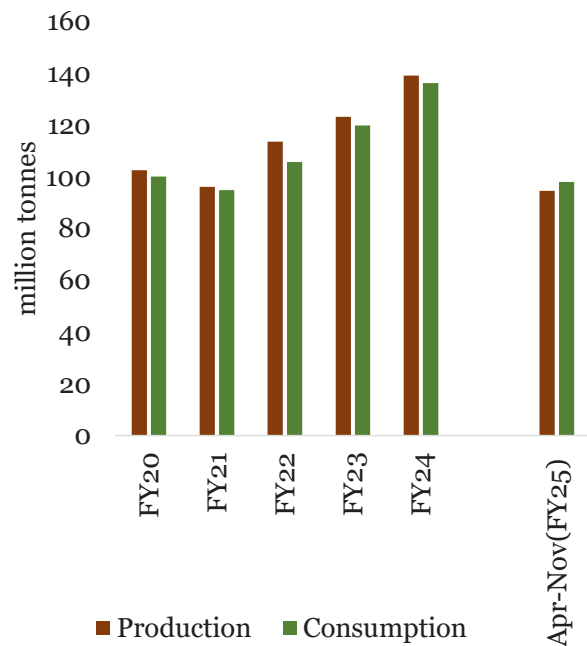
Note: >100 optimistic <100 pessimistic.

Growth in cement and steel production driving India's infrastructure

Rising cement production

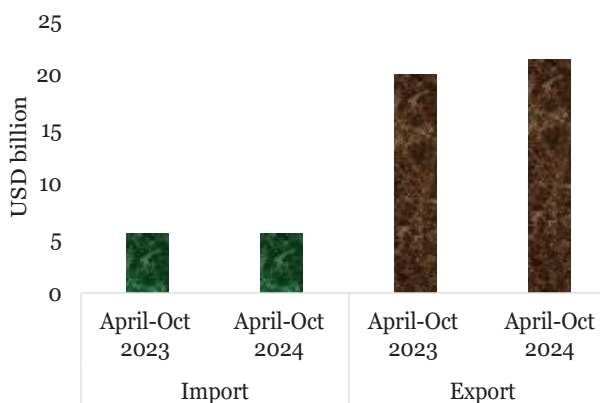


Steady increase in production and consumption of steel

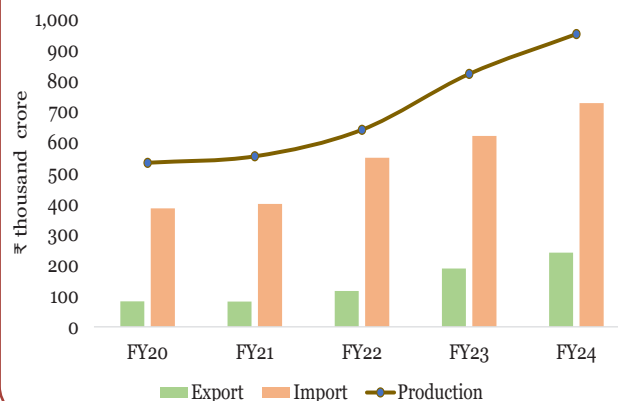


Performance of consumer goods industries

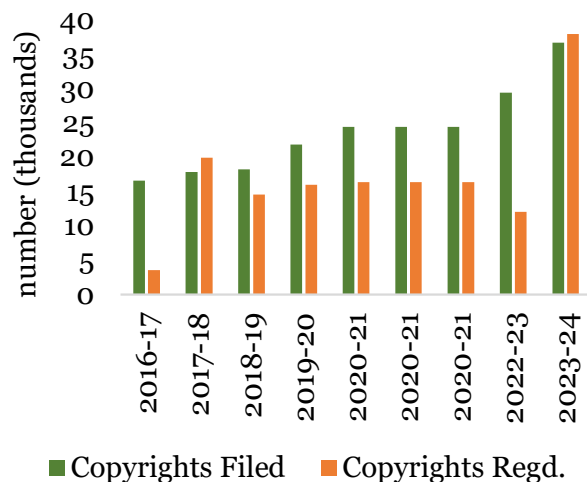
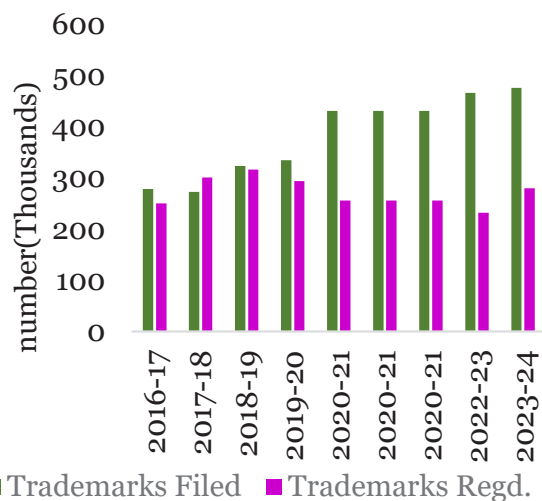
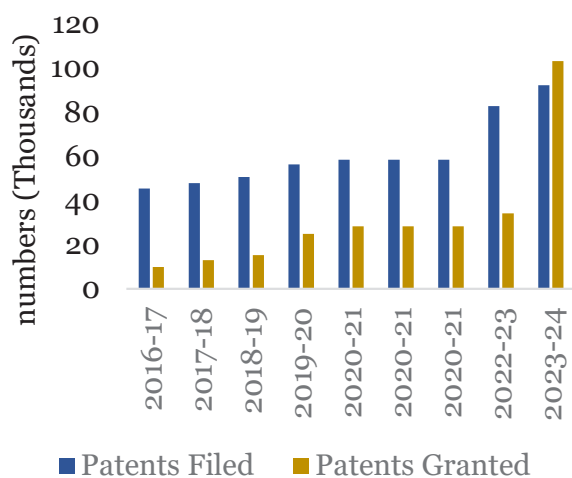
Growth in textile exports



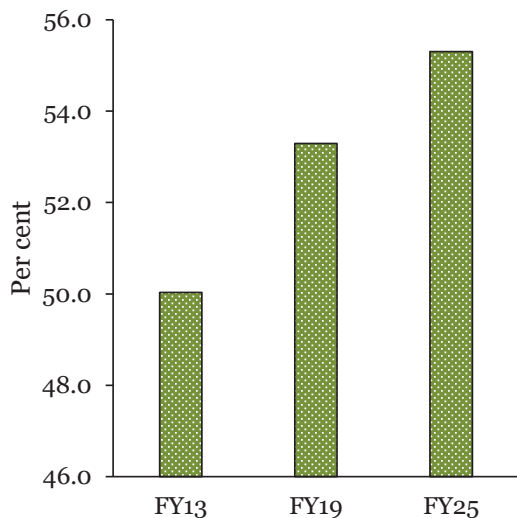
Increased momentum of electronics industry



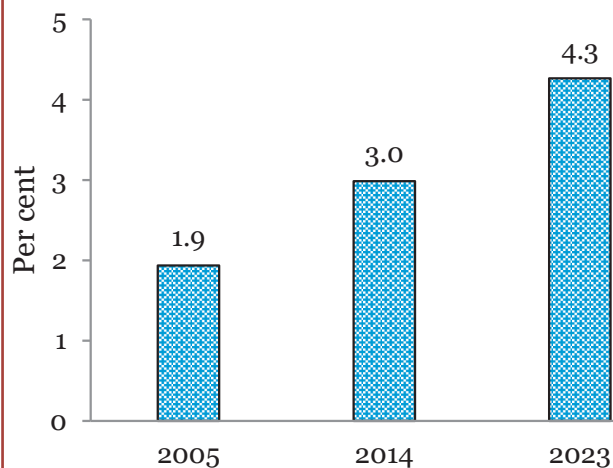
Intellectual properties are growing fast in India



Increasing trend of services sector share in GVA



India's increasing share in global services exports



Challenges, opportunities and way forward for services

New Challenges

Offshore Work

Traditional apprenticeship model faces challenges of inadequate direct supervision, language barriers, information gaps and differences in regulatory provisions across countries

Opportunities

Servicification

- ◆ Increasing demand for embedded services
- ◆ Adoption of digital technologies and AI in services and manufacturing
- ◆ Encashing the strength of global trade in services

Way Forward

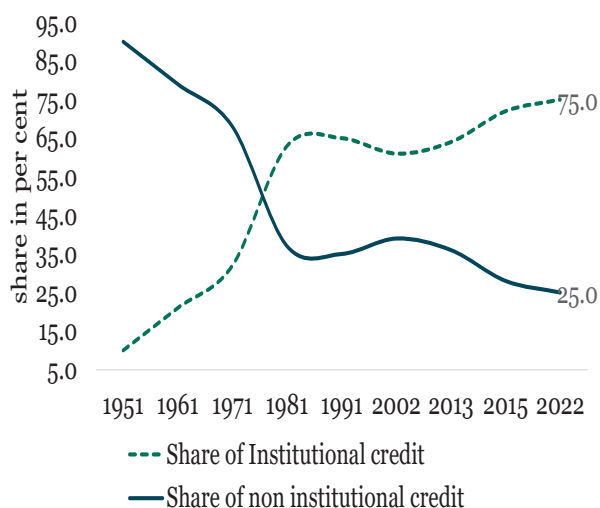
Policy support

Appropriate skilling to reap benefits of digital revolution

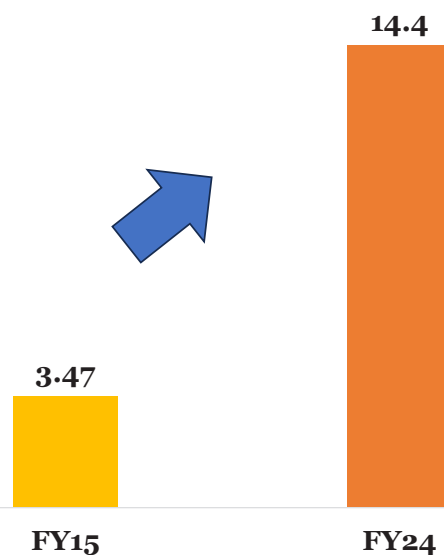
Reform grassroot-level procedures and regulations that hinder growth

Agriculture and Food Management: Sector of the future

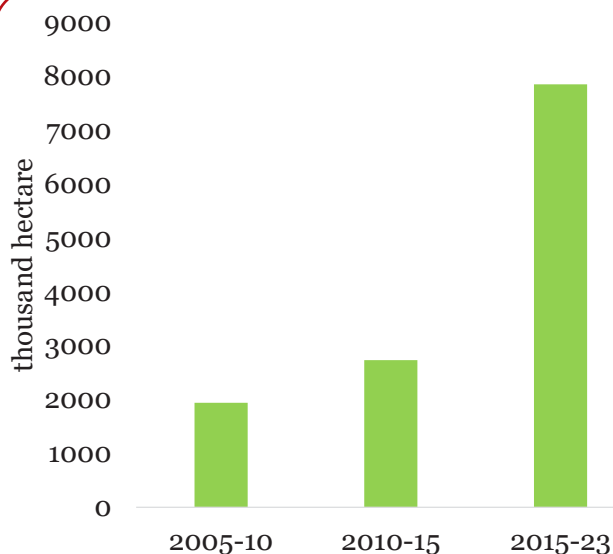
Decline in share of non-institutional credit



Growth in credit flow to small and marginal farmers (₹ in Lakh Crores)



Increase in area under micro-irrigation



Promoting sustainable farming: major measures

